

Q3 2026 Databricks: Reading the \$188 Billion Term Sheet

A signed term sheet 40% above the last completed valuation, and the accelerating business underneath it

Data filepath: R&E - Thematic Research\Emerging Tech\Databricks\Q3_2026_Vertical_Note

Chart as-of date: August 10, 2026

Chart geography: US

Research type (Core/Quant, Emerging Tech, Industry): Emerging Tech

Access level: Client only (Platform only, no preview on N&A)

Chart count: 3

Table count: 1

Credits

HARRISON ROLFES Senior Research Analyst, Late-Stage Company Research

Published on August 11, 2026

Contents

Key takeaways

The term sheet: \$188 billion, signed but not yet closed

The business under the new price: growth keeps getting faster

What the two prices buy

Estimative language

References

Landing page

CHART: The least expensive of its peers per unit of quality, at either price

Valuation per quality point across the frontier cohort, with Databricks shown at both its completed \$134 billion valuation and the announced \$188 billion term sheet.

Databricks signs at \$188 billion, and the quality math survives the higher price

Databricks signed a Coatue-led term sheet at a \$188 billion valuation on July 17, 40% above the round it completed in February, with the close expected later this summer. The business underneath the new price is still accelerating, at \$6.9 billion in annualized revenue. Even at the higher figure, the company remains the least expensive of its peers relative to business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)

Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **On July 17, Databricks signed a term sheet at a \$188 billion valuation, and the new price stands 40% above the \$134 billion round it completed in February.**

Coatue is leading the investment, with new and existing investors participating, and press reports put the amount being raised near \$3 billion.^{1,3} Until the money changes hands, we value the company at February's \$134 billion.

- **The same \$6.9 billion in annualized revenue now supports two prices: 19.4 times revenue at the completed valuation and 27.2 times at the announced one.** Because no new financial results accompanied the announcement, the company's next disclosure, expected between September and October, will show what investors actually paid for.⁷
- **Revenue growth has climbed across four consecutive company updates, from +50% to +80% year over year, on annualized revenue that now reads \$6.9 billion.** Gross margin is moving the other way: 74% today, down from above 80%, and guided lower. A fall below 70% would force us to rebuild the company's quality score regardless of the round.⁷
- **At either valuation, Databricks remains the least expensive company in its cohort relative to business quality: \$15.2 billion per quality point at the completed valuation, roughly \$21.3 billion at the announced one (est.).** Anthropic, the nearest peer, trades at about \$118 billion per point. We assess a close by October 31 as very likely (80-95%). Confidence: moderate; the size and terms remain press-sourced.³

The term sheet: \$188 billion, signed but not yet closed

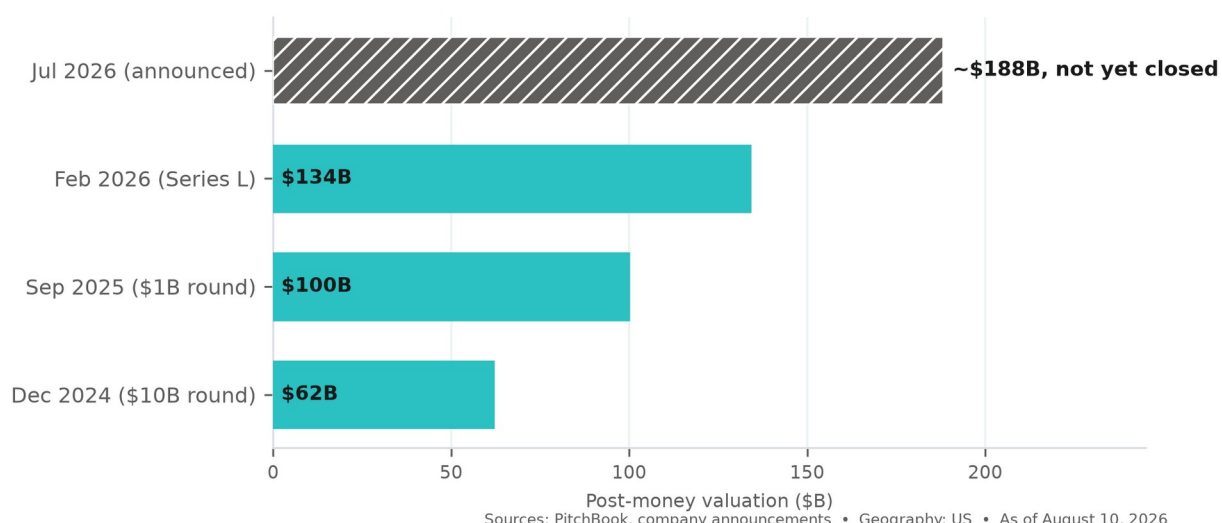
The round spent June as a rumor and July as a fact. On July 17, Databricks signed a term sheet for a strategic financing at a \$188 billion post-money valuation, with Coatue leading and new and existing investors participating.¹ The company did not disclose the amount; press reports put it near \$3 billion.³ The money moves later this summer, when the round is expected to close, and PitchBook lists the financing, the company's thirteenth venture round, as announced and in progress.^{2,5}

Databricks has been raising its own price for nineteen months. A December 2024 round valued the company at \$62 billion. September 2025 brought \$100 billion, and February's Series L, in which Insight Partners, J.P. Morgan Growth Equity Partners, and Fidelity led \$5 billion of equity alongside a \$2 billion loan, closed at \$134 billion.⁶ The term sheet extends that line to \$188 billion and clears the top of the \$165 billion to \$175 billion range that circulated in June by \$13 billion. Anthropic makes even that pace look ordinary: its valuation moved from \$380 billion to \$965 billion over the same five months.⁴

The company does not need the money. Free cash flow was already positive at the February disclosure, and that round brought in \$7.0 billion, more than double what this one seeks.⁶ Management has instead pointed the new capital at product: Genie, Unity AI Gateway, and Lakebase.¹ A listing is not the near-term destination either; no registration statement is on file, and the chief executive has publicly ruled out 2026, with 2027 the earliest window.^{8,10} Read together, the round works as positioning: a small raise at a higher completed valuation keeps every option open while giving up little of the company. Our discipline does not change with the positioning. A round that has not closed does not set the number we work from, so \$134 billion remains the working figure until the money settles.

Three completed rounds and one signed term sheet

Databricks post-money valuation (\$B)



Post-money valuations, December 2024 to July 2026. Completed rounds solid; the July 17, 2026 term sheet announced at \$188 billion, not yet closed, and excluded until funds settle.

The business under the new price: growth keeps getting faster

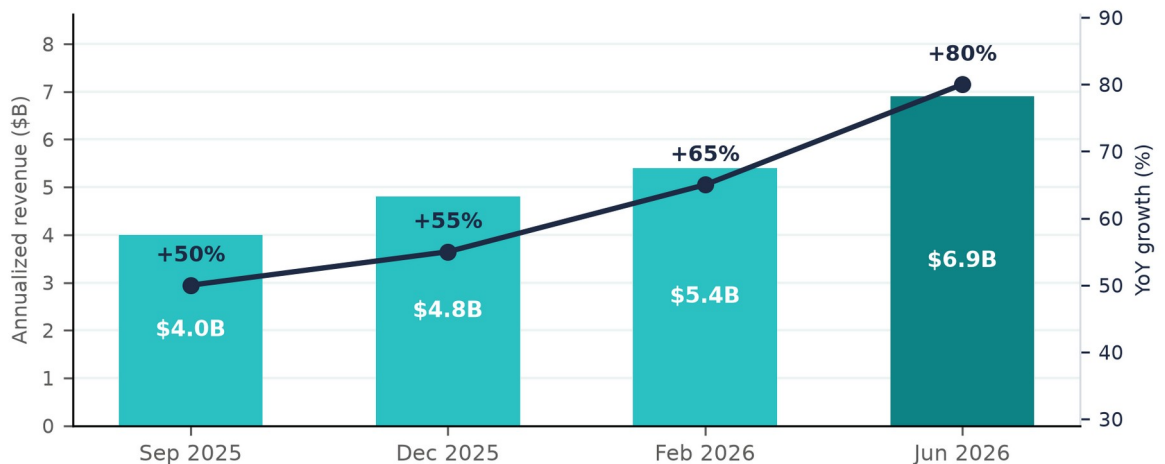
Databricks reported \$6.9 billion in annualized revenue in June, up 80% year over year, and July's announcement added nothing to those numbers.⁷ What the announcement repriced is a growth rate that has climbed at every disclosure: the company reported \$4.0 billion last September, \$4.8 billion in December, \$5.4 billion in February, and \$6.9 billion in June. Software companies at this scale usually slow down. Databricks keeps speeding up.

Composition explains part of the acceleration. The AI product line reached \$1.7 billion in annualized revenue by June, up from \$1.4 billion in February, and the data-warehousing product that competes directly with Snowflake crossed \$1.5 billion, doubling year over year.^{6,7} Growth of that kind arrives with a bill attached. Gross margin fell to 74% from above 80%, and management expects further declines because AI agents run queries at machine speed while the computing bill lands in cost of revenue.⁷ For our quality score, 70% is the line that matters; below it, we rebuild the score regardless of what the round does. The cushion today is four percentage points.

The rest of the operating picture is strong but stale. February's disclosure showed positive free cash flow, net revenue retention above 140%, and more than 20,000 customer organizations; those figures are now six months old, and we weight them accordingly.⁶ Headcount stood at 9,000 in June.⁵ The next update, expected between September and October, refreshes everything at once, which concentrates a quarter's worth of evidence into a single window.

Growth keeps getting faster at \$7 billion of annualized revenue

Annualized revenue (\$B, bars) and YoY growth (% , line)



Sources: Company disclosures • Geography: US • As of June 16, 2026

Annualized revenue (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new figures since June 16.

What the two prices buy

Both valuations price the same June results. At \$134 billion, investors pay 19.4 times annualized revenue; at \$188 billion, they pay 27.2 times. Growth narrows that gap more than the headline suggests. Snowflake, the closest public comparison, trades at 15.3 times revenue while guiding to 31% growth, which works out to 0.49 times revenue for each point of growth.⁹ At the announced valuation, Databricks costs 0.34 times per point. Even at the higher price, a dollar of growth at Databricks costs less than what the public market charges for the slower business.

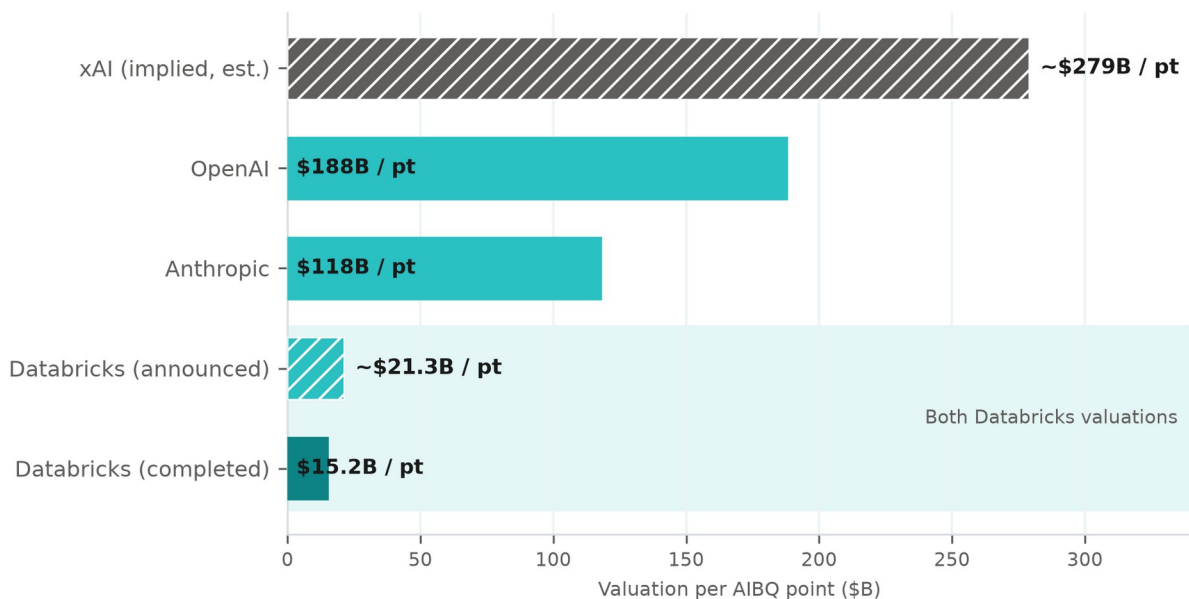
Our quality framework points the same direction. Databricks scores 8.81 on AIBQ, our business-quality measure, the highest score in the frontier cohort, and buyers at the completed valuation pay \$15.2 billion for each point of it; at the announced valuation, they would pay roughly \$21.3 billion (est.). Anthropic trades at about \$118 billion per point, OpenAI at close to \$188 billion, and xAI, valued inside its listed parent SpaceX, at roughly \$279 billion (est.). Closing this round would place Databricks among the five most valuable private companies in the world, and it would still cost about a fifth of what buyers pay its nearest peer for each unit of quality.^{4,5}

Two events settle what this note leaves open. The close comes first: the company points to later this summer, and we assess completion by October 31 as very likely (80-95%). Confidence: moderate, because the size and terms rest on press reporting the company has not confirmed.³ The disclosure window follows, with results expected between September and October that will test revenue against \$6.9 billion, gross margin against the 70% threshold, and February's customer metrics against fresh figures. A gross margin below 70% at that update would force us to rebuild the quality score, round or no round. For readers pricing late-stage AI exposure, the practical reading sits outside the round itself: Anthropic and OpenAI have already filed

confidentially for IPOs while Databricks holds to 2027 at the earliest, so this term sheet resets the private benchmark for data-and-AI platforms, and the quality-per-dollar gap it leaves intact, roughly five to one against the nearest peer, is the spread worth watching into the fall.^{10,11}

The least expensive of its peers per unit of quality, at either price

Valuation per AIBQ quality point (\$B)



Sources: PitchBook, company disclosures, PitchBook analysis • Geography: US • As of August 10, 2026

Valuation per AIBQ quality point, August 10, 2026. Databricks shown at its completed and announced valuations; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

Estimative language

Forward-looking judgments in this note use the desk lexicon below. Numbers in parentheses give the assessed probability range. Confidence is stated separately and describes the evidence base, not the event. 'Possible' is never modified; one odds-bearing word per sentence.

Probability bands

Term	Range
Almost no chance / remote	1-5%
Very unlikely / highly improbable	5-20%
Unlikely / improbable	20-45%
Roughly even chance	45-55%
Likely / probable	55-80%
Very likely / highly probable	80-95%
Almost certain / nearly certain	95-99%

Desk adoption of the ICD 203 estimative standard; judgments are logged with dates and resolution criteria for calibration.

References

- 1.** Databricks signs term sheet at \$188B, Coatue lead (Reuters syndication), July 17, 2026.
<https://www.dealstreetasia.com/stories/coatue-led-funding-round-to-value-databricks-at-188b-489409/>
- 2.** Databricks hits \$188B valuation (TechCrunch), July 17, 2026.
<https://techcrunch.com/2026/07/17/databricks-hits-188b-valuation-extending-its-run-as-ais-favorite-second-act/>
- 3.** Coatue-led \$3B investment at \$188B (WSJ, via Reuters/CNA), July 16-17, 2026.
<https://www.channelnewsasia.com/business/databricks-valued-188-billion-after-coatue-led-investment-wsj-reports-6259931>
- 4.** PitchBook News: Databricks' 40% valuation bump looks 'almost quaint' next to Anthropic, July 17, 2026. <https://my.pitchbook.com/news-center/pb208542455521588824>
- 5.** PitchBook company profile 59199-40 (last updated August 10, 2026) and financing note, August 7, 2026. <https://my.pitchbook.com/profile/59199-40/company/profile>
- 6.** Databricks company announcement: Series L final close and operating metrics, February 9, 2026.
- 7.** Databricks Data + AI Summit analyst-session disclosures (\$6.9B run-rate, +80% YoY, 74% gross margin), June 16, 2026.
- 8.** SEC EDGAR submissions API, CIK 0001587468 (no registration statement on file), verified July 10, 2026. <https://data.sec.gov/submissions/CIK0001587468.json>
- 9.** Snowflake 8-K, Q1 FY2027 results and FY2027 product revenue guidance (\$5.84B, +31%), May 27, 2026.
- 10.** Databricks CEO public comments on listing timing (2026 ruled out; 2027 the earliest window), June 4, 2026.
- 11.** PitchBook company profiles and financing notes: Anthropic (466959-97) and OpenAI (149504-14), confidential S-1 filings, June 2026.